

DOCUMENT ID: PROC-8472-REV-9 (Adding a Youthful Operator / Teen Driver to Existing Policy)

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Supersedes: PROC-8472-REV-8, PROC-8471, MEMO-2021-04-AUTO. Target Audience: Tier 1, Tier 2, Escalation, Retention.

Overview & Scope: This document outlines the mandatory procedural steps, compliance checkpoints, underwriting considerations, and state-specific regulatory disclosures required when an existing policyholder requests the addition of a Youthful Operator (defined as a newly licensed driver, permitted driver, or driver under the age of 25, depending on jurisdiction and continuous coverage history). Failure to adhere strictly to the sequence of events outlined below may result in E&O (Errors and Omissions) exposure, unauthorized binding, premium calculation errors, and disciplinary action up to and including termination. It is critical that all steps are followed to ensure compliance with state, federal, and internal risk management regulations.

Standard Procedure (All Jurisdictions):

Before initiating the Youthful Operator Add workflow in PQS, the consultant MUST ensure all prerequisites are met. Verify the caller's identity and policy number using standard CPN verification methods (refer to POL-102 for CPN verification overrides). Once verified, ask for the youthful operator's full legal name (as it appears on their government-issued ID), date of birth, driver's license number, state of issuance, and date first licensed. Note: If the driver has a permit, they must be added as a 'Permitted Driver,' which does not impact premium in 42 states, but must still be documented. Enter the information into the Policy Quoting System (PQS) under the 'Drivers' tab. Navigate to the 'Underwriting' sub-tab and select the appropriate relationship code. Once the premium is recalculated, you must read the mandatory binding script. **MANDATORY BINDING SCRIPT (DO NOT SKIP THIS - MUST BE READ VERBATIM):** Read the following to the customer: *'By adding this driver, your premium will adjust based on their driving record, age, and licensing status. Do you consent to this change and authorize us to process this endorsement?'*

******* STATE EXCEPTIONS & UNDERWRITING RULES - READ CAREFULLY *******

Consultants must locate the caller's policy state within this block before proceeding with the bind. Do not rely solely on the billing address; use the garaging zip code.

Alabama (AL): No specific exceptions, standard procedure. **Alaska (AK):** Must ask if the teen completed a certified driver's ed course. **Arizona (AZ):** Winter driving exclusion notice required. **Arkansas (AR):** Standard procedure. **California (CA):** CRITICAL: Prop 103 compliance required. You must inform the customer about the CA Good Student Discount. Tell them: *'If your student maintains a 3.0 GPA, they may qualify for a discount. Proof must be submitted within 14 days.'* You must also read CA Legal Script 4A located in Document 882 (DO NOT READ SCRIPT 4B, it was deprecated in 2022). Do not bind if the vehicle is garaged out of state for college without filing the Out-of-State Garaging form. **Colorado (CO):** Standard. **Connecticut (CT):** Hail damage waiver does not apply to teen drivers. **Delaware (DE):** Standard procedure. **Florida (FL):** Florida requires the SR-22 check prior to quoting. Do not bind the policy if the youthful operator has an SR-22 on record; transfer to High Risk immediately. FL Disclaimer: *'Florida state law requires us to verify all driving records via the state database. Adding a driver with infractions may result in immediate cancellation.'* **Georgia (GA):** No exceptions. **Hawaii (HI):** Standard procedure. **Idaho (ID):** Standard. **Illinois (IL):** Standard procedure applies, but ensure you select the 'Teen Driver' code in the drop-down on screen 4, otherwise the

system will default to 'Occasional Driver' which is an E&O violation in IL. **Indiana (IN) to Kansas (KS):** No exceptions. **Kentucky (KY) to Maryland (MD):** Standard. **Massachusetts (MA):** Must read the MA safe driver disclosure (Ref: MA-DISC-99). **Michigan (MI):** RMV check required. **Minnesota (MN):** PIP coverage automatically extends. **Mississippi (MS) to New Mexico (NM):** Standard. **New York (NY):** [Update 01/2024 - NY requires defensive driving certificate on file within 30 days]. Read script: *'Please upload the NY DMV Defensive Driving certificate to your portal within 30 days to avoid policy cancellation.'* Photo inspection required if adding comprehensive. **North Carolina (NC) to Oregon (OR):** Standard. **Pennsylvania (PA):** Tiering rule applies. **Rhode Island (RI) to Tennessee (TN):** Standard. **Texas (TX):** Texas policies require a signed addendum if the driver is excluded from any specific vehicles on the policy. Inform the customer they will receive a DocuSign email within 24 hours. **Utah (UT) to Wyoming (WY):** Standard.

Related Articles: PROC-8473 (Removing a Driver), POL-102 (CPN Verification), SCRIPT-44 (General Disclaimers), MEMO-2022-CA-GOOD-STUDENT. For questions regarding underwriting rules, contact the regional underwriting desk. For system issues, email km-support@example.com.